T-12 OPERATING STATEMENT

Ridgeline Manor | Dallas, TX

Property	Ridgeline Manor
Period Ending	February 14, 2024
Basis	Accrual - Trailing 12 Months
Prepared By	Redwood Property Management
Size	64 units

Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4000 Gross Potential Rent	108,893	113,320	100,987	113,981	102,330	110,739	114,908	110,165	105,816	114,583	107,900	103,117	1,306,740
4010 Loss to Lease	25,964	28,522	26,239	26,762	27,955	27,392	25,972	27,386	27,928	27,353	26,260	26,622	324,356
4020 Vacancy Loss	82,030	73,342	81,467	80,196	76,763	77,062	79,423	75,038	80,433	81,163	77,508	75,113	939,539
4030 Concessions	57,859	53,984	56,288	58,687	53,146	56,316	56,760	57,993	56,575	52,187	56,001	55,453	671,249
4040 Bad Debt	7,353	8,211	8,105	7,545	7,353	8,005	8,192	8,217	7,588	8,160	8,089	7,707	94,524
4050 Late Fees	5,218	5,204	5,531	5,505	5,314	5,556	5,367	5,540	5,555	5,043	4,949	5,146	63,929
4060 Utility Reimbursements	31,329	30,431	30,839	33,217	30,837	30,866	30,938	34,531	30,871	32,934	33,756	34,893	385,443
4070 Parking Income	91,999	90,853	97,466	95,604	89,288	92,971	91,232	92,031	93,600	91,701	88,335	88,309	1,103,391
4080 Application Fees	18,350	20,058	19,970	18,685	17,816	18,371	19,799	18,091	18,408	20,066	18,499	18,335	226,447
4090 Pet Rent	19,256	19,948	19,094	21,060	19,846	19,421	21,121	21,505	21,372	21,026	19,039	19,444	242,133
4100 Laundry Income	2,487	2,486	2,338	2,501	2,404	2,376	2,274	2,264	2,389	2,474	2,567	2,269	28,827
4110 Cable/Internet Revenue	2,461	2,611	2,450	2,588	2,575	2,588	2,365	2,596	2,442	2,369	2,498	2,476	30,018
4120 CAM Reimbursements	74,585	81,357	80,284	72,074	73,816	73,959	75,009	78,678	76,834	76,115	82,438	72,910	918,059
4130 Tax Reimbursements	60,118	55,880	59,172	61,692	62,367	61,901	55,334	56,563	61,693	59,677	55,594	62,798	712,788
4140 Insurance Reimbursemen	74,963	77,173	75,655	72,465	76,646	73,135	70,588	77,008	74,971	78,327	74,776	78,272	903,978
4150 Percentage Rent	75,889	75,303	79,745	76,882	81,653	80,992	79,936	81,905	74,695	76,333	74,385	78,980	936,698
4160 Misc. Income	18,690	18,540	19,474	19,543	18,914	19,680	19,648	19,375	19,132	17,934	18,294	18,741	227,965
4170 Payroll - Management	5,206	5,044	5,664	5,365	5,611	5,626	5,010	5,264	5,557	5,618	5,096	5,092	64,154
4180 Payroll - Leasing	2,823	3,070	3,058	2,983	3,168	2,797	2,825	2,810	2,821	3,020	3,150	3,149	35,674
4190 Payroll - Maintenance	4,525	4,761	4,626	4,356	4,781	4,464	4,839	4,695	4,838	4,495	4,814	4,760	55,954
4200 Payroll Taxes & Benefits	7,555	6,790	7,602	6,907	6,761	7,709	7,687	7,012	7,404	7,184	7,457	6,751	86,819
4210 Repairs - Plumbing	12,951	13,564	13,201	12,411	13,492	13,579	12,308	13,593	12,536	13,493	12,752	11,909	155,788
4220 Repairs - HVAC	6,189	6,041	6,097	5,793	6,556	6,626	6,381	5,808	6,488	5,869	6,392	6,329	74,569
4230 Repairs - Electrical	4,265	4,356	3,955	4,161	4,007	4,041	4,136	4,173	4,229	4,421	3,980	4,231	49,954
4240 Repairs - Appliances	1,498	1,563	1,558	1,522	1,538	1,526	1,670	1,489	1,468	1,627	1,612	1,641	18,711
4250 Painting & Decorating	9,768	10,348	9,511	10,574	10,442	10,307	10,556	10,377	9,567	9,627	9,897	9,759	120,733

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4440 Accounting & Audit	9,000	8,692	8,958	9,753	9,274	8,818	8,971	9,870	9,615	9,454	9,446	9,793	111,644
4450 Licenses & Permits	2,780	2,794	2,752	2,634	2,960	2,677	2,672	2,760	2,923	2,687	2,880	3,022	33,542
4460 Management Fee	3,619	3,268	3,500	3,393	3,236	3,569	3,318	3,172	3,451	3,527	3,323	3,182	40,560
4470 Property Insurance	9,038	8,889	9,679	9,024	10,205	9,374	9,119	9,356	9,734	9,807	9,506	8,975	112,705
4480 Real Estate Taxes	4,229	3,959	4,263	3,972	4,390	4,283	4,055	4,327	3,899	4,318	4,250	4,153	50,099
4490 Asset Management Fee	4,805	5,332	5,000	5,390	5,440	4,935	5,340	5,089	5,314	5,471	5,378	5,022	62,517
4500 Replacement Reserves	3,957	3,982	3,853	3,781	4,054	3,733	3,928	3,902	3,785	3,994	3,889	4,070	46,928
4510 Roof Repairs	10,625	10,769	10,937	11,261	10,937	11,056	10,973	11,127	11,442	10,504	10,258	10,875	130,765
4520 Parking Lot Repairs	5,453	5,445	5,990	5,876	5,735	5,454	5,779	5,903	5,679	5,527	5,323	5,486	67,651
4530 Signage	9,742	10,040	10,189	10,538	10,549	10,263	10,726	10,381	9,800	9,797	10,230	9,914	122,170
4540 Tenant Improvements	7,301	6,646	7,279	7,224	6,913	6,820	6,672	7,129	7,417	6,624	6,706	6,587	83,319
4550 Leasing Commissions	3,679	3,760	3,653	3,986	3,996	3,835	3,646	3,838	4,013	3,590	3,887	3,893	45,778
4000 Gross Potential Rent	114,082	115,518	100,814	106,950	101,872	107,060	102,788	114,567	103,424	103,862	114,600	106,776	1,292,312
4010 Loss to Lease	45,989	45,886	47,102	50,621	50,306	48,179	50,647	47,343	51,453	47,227	46,280	45,726	576,760
4020 Vacancy Loss	44,981	47,177	44,793	48,829	46,938	43,949	48,934	46,212	48,490	48,531	47,312	48,369	564,514
4030 Concessions	40,659	39,331	36,173	39,289	38,797	36,896	40,557	38,387	38,501	36,049	39,752	37,175	461,563
4040 Bad Debt	54,958	54,354	58,695	59,617	58,766	55,775	57,221	57,494	52,432	57,001	58,785	58,119	683,217
4050 Late Fees	7,141	6,390	7,212	6,533	6,701	6,928	7,153	7,051	7,006	6,506	7,212	7,120	82,954
4060 Utility Reimbursements	18,478	17,228	19,586	19,588	17,467	19,278	19,532	18,411	18,285	18,190	19,394	19,110	224,547
4070 Parking Income	88,318	85,174	85,650	91,220	85,526	82,743	90,147	81,391	91,671	92,850	82,059	90,650	1,047,399
4080 Application Fees	88,111	79,133	80,562	86,930	78,691	90,013	87,773	84,113	82,942	80,391	83,640	79,704	1,002,005
4090 Pet Rent	30,917	31,381	31,026	30,275	29,329	32,678	30,324	31,125	32,943	31,999	29,545	32,709	374,252
4100 Laundry Income	1,290	1,402	1,308	1,362	1,282	1,396	1,388	1,433	1,270	1,348	1,436	1,286	16,202
4110 Cable/Internet Revenue	29,776	26,645	26,052	26,326	27,765	26,949	29,058	26,872	28,065	28,989	28,844	26,741	332,083
4120 CAM Reimbursements	64,225	63,341	61,011	61,789	62,867	67,094	63,509	67,403	61,276	63,622	65,060	66,388	767,587
4130 Tax Reimbursements	31,350	31,918	31,101	29,420	29,016	30,857	28,809	31,610	30,999	29,727	28,588	28,758	362,155
4140 Insurance Reimbursemen	67,250	74,597	68,600	66,202	70,330	75,449	68,450	71,418	66,290	67,998	71,442	66,761	834,789
4150 Percentage Rent	3,378	3,790	3,642	3,350	3,538	3,552	3,526	3,467	3,573	3,697	3,325	3,576	42,414
4160 Misc. Income	52,359	53,835	52,383	52,340	51,468	53,291	55,745	56,834	52,103	55,084	51,749	51,514	638,706
4170 Payroll - Management	4,110	4,141	3,917	3,644	3,746	3,776	3,762	3,722	3,869	3,954	4,010	3,694	46,345
4180 Payroll - Leasing	3,731	3,891	3,963	3,955	3,831	3,613	3,869	3,931	3,960	3,739	3,539	3,626	45,649
4190 Payroll - Maintenance	4,343	4,330	4,159	4,181	4,257	4,051	4,308	4,142	3,897	3,997	4,293	4,297	50,255
4200 Payroll Taxes & Benefits	6,572	6,246	6,938	6,785	6,144	6,954	6,580	6,533	6,373	6,334	6,398	6,393	78,250
4210 Repairs - Plumbing	10,750	11,041	11,296	10,778	11,459	10,822	11,362	10,961	11,112	10,966	10,369	11,147	132,062
4220 Repairs - HVAC	3,233	2,962	3,277	2,978	3,002	2,894	3,037	2,927	3,038	3,147	3,188	3,098	36,782
4230 Repairs - Electrical	5,996	6,237	6,257	6,457	6,166	6,122	6,566	5,908	6,287	6,289	5,749	6,112	74,146
4240 Repairs - Appliances	2,593	2,611	2,576	2,446	2,410	2,589	2,350	2,553	2,334	2,339	2,483	2,482	29,765
4250 Painting & Decorating	6,095	6,891	6,365	6,762	6,836	6,903	6,029	6,295	6,075	6,316	6,364	6,260	77,189
4260 Flooring	10,981	12,422	11,804	12,456	11,143	11,867	12,556	12,378	11,040	12,278	11,619	12,056	142,600
4270 Make-Ready / Turnover	8,623	9,096	9,375	9,314	8,592	9,615	8,458	9,320	9,451	8,904	9,172	8,650	108,571
4280 Landscaping Contract	7,531	6,944	7,432	7,673	7,276	7,549	7,472	7,552	6,899	7,560	7,571	7,432	88,891
4290 Snow Removal	7,859	8,449	7,640	8,241	8,499	7,783	8,279	7,778	7,664	7,833	7,673	8,021	95,720
4300 Janitorial	1,072	1,095	1,042	1,055	1,140	1,082	1,097	1,157	1,184	1,134	1,162	1,063	13,283
4310 Pest Control	11,138	11,953	11,289	11,250	10,728	11,424	10,978	11,906	11,026	10,607	11,804	11,922	136,024

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Financial Analysis

Occupancy stands at 92.5% with an average resident length of stay of 12 years. Management fees are calculated at 5.6% of collected revenue and are included in operating expenses. The going-in capitalization rate of 6.39% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $476,000, representing a 13.7% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 6.80x on a trailing basis against a covenant minimum of 1.20x.

Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. Dining, housekeeping, transportation and activities programming are included in the base fee. Occupancy stands at 93.4% with an average resident length of stay of 9 years. Operating expenses totaled $227,000 or approximately 25.22 per square foot, with real estate taxes representing the largest line item.

Management Commentary

Service requests are tracked through a work-order system with an average completion time of 25 hours. Collections for the period were 93.6% of billed charges, with bad debt of 7.5% of gross potential income. Occupancy stands at 90.7% with an average resident length of stay of 10 years. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

The community provides assisted living and memory care services under a state-issued license with 27 full-time caregivers per shift. Collections for the period were 92.8% of billed charges, with bad debt of 7.1% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 34th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 10 additional team members. Occupancy stands at 92.5% with an average resident length of stay of 12 years. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care.

Income and Expense Review

The community provides assisted living and memory care services under a state-issued license with 25 full-time caregivers per shift. Net operating income is projected to grow at a compound annual rate of 3.4% over the hold period. Occupancy stands at 94.6% with an average resident length of stay of 8 years. Operating expenses totaled $128,000 or approximately 13.33 per square foot, with real estate taxes representing the largest line item. The going-in capitalization rate of 5.32% reflects the in-place income and the stabilized occupancy assumption.

Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. The going-in capitalization rate of 7.65% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 6.7% over the hold period. Effective gross income for the trailing period was $435,000, representing a 7.7% increase over the prior year. Debt service coverage ratio was 7.40x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 31 hours. The community provides assisted living and memory care services under a state-issued license with 6 full-time caregivers per shift. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 20 additional team members. Collections for the period were 88.2% of billed charges, with bad debt of 6.4% of gross potential income.

Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. Dining, housekeeping, transportation and activities programming are included in the base fee. The manager completes a monthly walk of the property and submits a variance report to the owner by the 37th business day. Service requests are tracked through a work-order system with an average completion time of 3 hours.

Valuation Discussion

Operating expenses totaled $195,000 or approximately 27.12 per square foot, with real estate taxes representing the largest line item. Dining, housekeeping, transportation and activities programming are included in the base fee. Debt service coverage ratio was 6.56x on a trailing basis against a covenant minimum of 1.20x. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Occupancy stands at 88.4% with an average resident length of stay of 5 years. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The community provides assisted living and memory care services under a state-issued license with 24 full-time caregivers per shift. Net operating income is projected to grow at a compound annual rate of 7.9% over the hold period.

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Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4380 Water & Sewer	1,615	1,487	1,461	1,500	1,510	1,424	1,499	1,597	1,499	1,466	1,563	1,577	18,198
4390 Telephone/Internet	4,052	3,980	4,074	4,321	4,195	4,167	3,869	4,233	4,022	4,268	4,360	4,206	49,748
4400 Advertising	6,173	6,532	6,075	6,768	6,499	6,238	6,310	6,240	6,538	5,962	6,100	6,187	75,623
4410 Resident Events	6,232	6,317	6,406	6,562	6,174	6,499	6,044	6,759	6,257	6,073	6,073	6,203	75,598
4420 Office Supplies	11,247	11,653	11,816	12,535	12,125	11,256	11,960	10,947	12,222	11,090	11,732	12,088	140,673
4430 Legal & Professional	1,926	1,870	1,969	1,935	1,988	1,795	1,866	1,806	1,785	1,892	1,949	1,780	22,562
4440 Accounting & Audit	4,503	4,219	4,159	4,250	4,072	4,427	4,133	4,433	4,505	4,134	4,581	4,318	51,735
4450 Licenses & Permits	7,928	7,938	8,059	7,600	7,739	7,297	7,909	7,332	7,818	7,580	8,010	8,090	93,301
4460 Management Fee	10,868	10,991	11,821	11,548	11,928	12,094	11,883	11,806	12,007	11,872	11,106	10,830	138,753
4470 Property Insurance	5,844	5,815	6,394	6,638	6,158	6,117	6,193	6,093	6,390	5,942	5,884	6,383	73,852
4480 Real Estate Taxes	3,277	2,970	3,264	3,029	3,048	3,208	2,892	3,094	3,298	3,016	3,125	2,892	37,114
4490 Asset Management Fee	13,578	12,583	12,900	12,813	12,430	11,984	12,100	12,368	13,399	13,376	12,527	12,068	152,127
4500 Replacement Reserves	5,278	5,553	5,074	5,127	5,052	5,179	4,995	5,050	5,185	5,318	5,525	5,569	62,907
4510 Roof Repairs	1,693	1,609	1,606	1,578	1,491	1,502	1,589	1,526	1,669	1,524	1,574	1,566	18,926
4520 Parking Lot Repairs	5,646	5,371	5,932	6,030	5,744	5,470	5,799	6,040	5,945	5,507	5,804	5,746	69,033
4530 Signage	3,887	3,908	4,094	3,792	4,133	4,239	4,326	4,227	3,850	4,048	4,247	4,087	48,838
4540 Tenant Improvements	9,148	8,747	9,223	9,491	8,955	9,868	9,301	9,386	9,818	8,841	9,934	9,794	112,508
4550 Leasing Commissions	9,759	9,664	9,565	10,185	9,456	9,771	10,250	9,713	9,682	9,089	9,637	9,012	115,783
4000 Gross Potential Rent	114,826	106,087	106,453	103,363	106,976	112,440	110,017	110,119	107,765	103,410	109,225	101,706	1,292,388
4010 Loss to Lease	67,474	68,170	67,044	70,209	71,864	68,119	74,327	76,129	70,462	69,332	76,014	69,211	848,355
4020 Vacancy Loss	87,752	91,080	91,837	90,204	85,877	95,846	89,053	96,872	91,642	95,575	86,963	97,396	1,100,096
4030 Concessions	57,640	59,065	55,338	56,473	60,181	60,251	57,114	57,084	61,848	57,095	56,634	58,888	697,609
4040 Bad Debt	38,907	39,344	40,064	37,606	37,614	36,387	41,109	40,082	39,600	38,151	41,591	39,766	470,221
4050 Late Fees	8,264	8,145	8,440	8,096	8,732	8,068	8,708	7,870	8,612	8,835	8,911	8,724	101,406
4060 Utility Reimbursements	13,476	12,511	12,599	12,354	12,150	12,064	13,537	12,852	12,089	13,318	13,408	13,198	153,558
4070 Parking Income	64,444	68,870	69,814	64,423	67,966	67,041	64,816	61,201	62,968	69,226	63,290	63,266	787,325
4080 Application Fees	11,939	12,797	13,202	12,644	13,314	12,036	12,018	12,384	12,134	12,958	12,321	13,397	151,146
4090 Pet Rent	59,323	62,802	62,242	57,475	61,473	59,224	55,696	58,522	62,825	59,304	57,206	61,708	717,801
4100 Laundry Income	22,542	21,376	23,119	22,925	20,650	21,800	22,152	20,937	22,458	22,663	21,277	21,788	263,687
4110 Cable/Internet Revenue	52,466	52,379	52,693	54,395	53,367	54,413	51,230	56,791	53,430	51,783	55,677	52,898	641,523
4120 CAM Reimbursements	76,522	77,846	77,015	74,271	80,421	82,211	83,204	76,543	78,188	76,012	77,433	74,497	934,164
4130 Tax Reimbursements	52,674	49,934	54,084	52,261	54,844	50,020	49,129	53,615	49,124	49,568	51,145	54,379	620,778
4140 Insurance Reimbursemen	41,040	44,161	44,007	43,795	42,167	43,047	40,208	41,309	45,323	43,171	42,064	40,514	510,807
4150 Percentage Rent	84,812	80,125	87,936	79,840	77,457	79,076	87,336	83,697	83,529	77,571	85,487	82,158	989,024
4160 Misc. Income	89,070	82,035	79,956	86,893	91,745	87,074	88,679	84,818	85,264	90,431	85,990	84,260	1,036,214
4170 Payroll - Management	9,550	9,752	10,470	10,182	10,761	10,272	10,070	9,919	10,143	10,014	9,866	9,817	120,815
4180 Payroll - Leasing	8,497	8,754	8,142	8,330	8,603	8,792	8,305	8,539	8,734	8,842	8,870	7,767	102,176
4190 Payroll - Maintenance	2,730	2,619	2,682	2,562	2,607	2,552	2,458	2,489	2,779	2,744	2,535	2,552	31,308
4200 Payroll Taxes & Benefits	8,847	9,903	9,741	9,909	8,917	9,966	9,266	9,733	10,020	9,664	9,089	8,846	113,902
4210 Repairs - Plumbing	3,596	3,584	3,599	3,476	3,695	3,467	3,579	3,279	3,410	3,357	3,740	3,679	42,462
4220 Repairs - HVAC	4,879	4,792	4,724	4,289	4,730	4,744	4,510	4,394	4,860	4,388	4,548	4,755	55,613
4230 Repairs - Electrical	2,921	2,780	2,835	2,927	2,806	2,915	2,774	2,693	2,807	2,620	2,918	2,853	33,849
4240 Repairs - Appliances	6,668	6,033	5,918	6,496	6,564	6,703	6,293	6,267	6,703	6,104	6,281	5,942	75,972
4250 Painting & Decorating	3,157	3,276	3,097	3,230	3,513	3,434	3,216	3,407	3,490	3,257	3,230	3,527	39,836
4260 Flooring	11,476	10,245	11,671	10,364	10,512	11,236	10,987	10,484	11,389	10,447	10,885	11,434	131,131
4270 Make-Ready / Turnover	9,672	10,799	10,469	10,779	10,664	10,909	10,528	9,850	10,167	10,785	10,209	10,809	125,641
4280 Landscaping Contract	11,223	11,072	11,872	11,996	11,114	11,028	12,151	11,032	12,322	12,348	11,253	10,933	138,343

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Operating Performance

Effective gross income for the trailing period was $101,000, representing a 2.2% increase over the prior year. Debt service coverage ratio was 7.42x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 3.7% of collected revenue and are included in operating expenses. The going-in capitalization rate of 6.62% reflects the in-place income and the stabilized occupancy assumption. The community provides assisted living and memory care services under a state-issued license with 11 full-time caregivers per shift. Dining, housekeeping, transportation and activities programming are included in the base fee.

The going-in capitalization rate of 6.17% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 7.69x on a trailing basis against a covenant minimum of 1.20x. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. The community provides assisted living and memory care services under a state-issued license with 42 full-time caregivers per shift. Net operating income is projected to grow at a compound annual rate of 7.7% over the hold period.

Leasing and Marketing

Dining, housekeeping, transportation and activities programming are included in the base fee. Occupancy stands at 91.7% with an average resident length of stay of 12 years. The community provides assisted living and memory care services under a state-issued license with 26 full-time caregivers per shift. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 43th business day.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 3 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The manager completes a monthly walk of the property and submits a variance report to the owner by the 31th business day. Collections for the period were 93.5% of billed charges, with bad debt of 4.6% of gross potential income.

Operating Performance

Management fees are calculated at 6.1% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $60,000, representing a 13.6% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. Debt service coverage ratio was 7.20x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 7.96% reflects the in-place income and the stabilized occupancy assumption.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. Debt service coverage ratio was 7.72x on a trailing basis against a covenant minimum of 1.20x. The going-in capitalization rate of 6.86% reflects the in-place income and the stabilized occupancy assumption.

Property Operations

Service requests are tracked through a work-order system with an average completion time of 14 hours. Occupancy stands at 94.7% with an average resident length of stay of 10 years. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 10 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Service requests are tracked through a work-order system with an average completion time of 18 hours. Occupancy stands at 90.4% with an average resident length of stay of 12 years. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 22 additional team members. The community provides assisted living and memory care services under a state-issued license with 13 full-time caregivers per shift. The manager completes a monthly walk of the property and submits a variance report to the owner by the 39th business day.

Financial Analysis

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The community provides assisted living and memory care services under a state-issued license with 31 full-time caregivers per shift. The going-in capitalization rate of 5.65% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 5.13x on a trailing basis against a covenant minimum of 1.20x.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4230 Repairs - Electrical	10,207	9,183	9,721	9,517	9,203	9,720	9,983	9,757	9,093	9,759	9,661	9,493	115,298
4240 Repairs - Appliances	9,668	8,637	8,666	9,742	8,743	9,853	9,310	9,141	9,579	9,576	9,099	9,144	111,157
4250 Painting & Decorating	8,368	8,167	8,280	8,128	8,305	8,522	8,166	8,116	8,164	8,050	8,085	8,284	98,636
4260 Flooring	8,545	8,838	8,947	8,865	8,643	8,497	8,378	8,128	8,167	8,348	8,327	9,134	102,817
4270 Make-Ready / Turnover	10,730	10,912	10,817	10,256	10,720	10,646	9,707	9,762	10,268	9,858	9,791	10,317	123,784
4280 Landscaping Contract	3,635	3,613	3,591	3,702	3,753	3,778	3,498	3,521	3,558	3,985	3,646	3,677	43,957
4290 Snow Removal	4,375	4,162	4,096	4,350	4,274	4,251	4,251	4,183	4,498	4,059	4,402	4,314	51,214
4300 Janitorial	2,778	2,766	2,972	3,016	2,689	2,725	2,708	2,783	2,909	2,749	2,784	2,760	33,640
4310 Pest Control	12,806	12,828	13,112	12,051	12,010	11,860	12,708	13,017	12,192	12,735	12,376	13,448	151,144
4320 Trash Removal	2,082	2,138	2,121	2,274	2,173	2,079	2,241	2,063	2,188	2,134	2,172	2,170	25,834
4330 Elevator Contract	10,807	11,214	12,305	11,989	11,190	12,059	12,070	11,552	11,802	11,842	12,160	10,936	139,928
4340 Fire & Life Safety	5,483	5,750	5,757	5,804	5,863	5,754	5,484	5,829	5,737	5,487	5,259	5,497	67,704
4350 Security	2,011	1,898	2,068	1,913	1,866	1,856	2,039	2,080	2,039	1,951	2,068	1,967	23,755
4360 Electricity - Common	4,019	3,771	3,898	3,996	4,093	4,222	3,912	3,869	3,740	3,872	4,133	4,285	47,812
4370 Gas - Common	7,990	8,146	8,193	8,372	7,408	7,759	8,487	8,405	7,551	7,415	7,869	8,379	95,974
4380 Water & Sewer	5,710	5,682	5,997	6,203	5,654	5,715	6,156	5,952	5,612	6,138	5,420	6,022	70,261
4390 Telephone/Internet	3,677	3,337	3,304	3,363	3,563	3,349	3,450	3,325	3,692	3,476	3,723	3,513	41,772
4400 Advertising	8,466	8,342	8,364	8,448	7,845	7,974	8,845	8,084	8,693	8,291	8,385	7,968	99,703
4410 Resident Events	5,023	4,961	5,404	5,461	5,641	5,511	5,018	5,365	5,036	5,351	5,092	5,536	63,401
4420 Office Supplies	8,091	7,683	7,998	7,229	7,510	8,108	7,846	7,443	7,161	7,961	7,455	8,050	92,535
4430 Legal & Professional	5,289	5,068	4,787	5,143	4,777	5,411	5,202	4,790	4,867	5,199	5,281	5,158	60,971
4440 Accounting & Audit	9,533	9,737	8,802	9,757	8,753	9,117	8,863	9,514	9,464	8,960	8,716	9,761	110,977
4450 Licenses & Permits	9,631	10,554	9,676	9,660	10,225	10,845	10,706	9,652	9,669	9,797	9,619	9,876	119,910
4460 Management Fee	7,435	7,223	7,911	7,884	7,743	7,457	7,325	7,741	7,696	7,400	7,762	7,562	91,138
4470 Property Insurance	1,670	1,571	1,567	1,573	1,551	1,624	1,625	1,616	1,571	1,616	1,744	1,700	19,429
4480 Real Estate Taxes	10,353	9,541	9,433	10,340	9,410	9,832	10,441	9,331	9,803	9,289	9,247	9,995	117,014
4490 Asset Management Fee	9,110	9,869	10,209	9,149	9,239	9,683	9,440	9,528	9,122	9,068	10,051	8,912	113,382
4500 Replacement Reserves	9,555	9,812	9,581	9,221	9,632	9,705	9,083	10,115	9,725	9,917	9,578	8,969	114,892
4510 Roof Repairs	4,028	4,164	4,080	3,840	4,208	3,950	4,277	4,092	3,846	4,236	4,193	3,771	48,685
4520 Parking Lot Repairs	5,576	5,768	5,773	5,941	5,251	5,896	5,792	5,962	5,846	5,438	5,288	5,444	67,975
4530 Signage	9,949	10,406	10,580	9,673	10,087	10,014	9,878	10,302	9,634	10,561	10,309	10,498	121,891
4540 Tenant Improvements	1,271	1,283	1,169	1,254	1,249	1,270	1,202	1,239	1,210	1,126	1,125	1,124	14,522
4550 Leasing Commissions	9,136	10,037	9,701	9,804	9,310	9,851	8,736	8,839	9,054	9,620	9,597	9,591	113,277
4000 Gross Potential Rent	107,386	105,837	104,074	106,547	104,650	104,934	113,672	114,413	106,870	114,151	115,086	111,859	1,309,479
4010 Loss to Lease	31,853	32,272	35,102	32,593	34,914	33,296	31,056	31,455	34,569	32,497	31,259	35,657	396,525
4020 Vacancy Loss	20,747	22,075	20,436	21,050	20,575	21,643	19,701	22,499	20,108	21,660	19,876	21,490	251,861
4030 Concessions	7,007	7,001	7,108	7,178	7,002	6,908	7,046	6,566	6,844	6,807	7,115	6,398	82,981
4040 Bad Debt	66,064	68,458	72,589	72,691	72,414	67,707	65,734	66,251	68,069	70,785	65,186	66,501	822,450
4050 Late Fees	65,799	68,923	63,919	65,176	64,788	66,233	60,324	68,324	63,657	60,047	64,878	60,863	772,932
4060 Utility Reimbursements	13,508	14,915	14,370	13,464	14,238	13,205	13,278	14,360	13,982	15,018	14,702	14,416	169,456
4070 Parking Income	14,252	14,360	14,504	15,423	13,968	13,620	15,338	15,503	14,071	15,174	15,278	13,560	175,052
4080 Application Fees	83,548	84,207	91,845	90,412	83,956	90,492	92,328	90,229	84,239	89,192	83,763	83,893	1,048,103
4090 Pet Rent	71,967	71,859	74,768	70,170	78,160	69,284	71,215	78,205	75,523	75,145	76,084	72,504	884,883
4100 Laundry Income	11,220	11,582	11,463	10,904	11,447	11,577	11,436	11,414	11,765	11,022	11,330	11,977	137,136
4110 Cable/Internet Revenue	35,679	36,234	32,930	36,316	33,267	36,819	33,839	34,691	35,580	35,548	33,669	35,023	419,595

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Operating Performance

The going-in capitalization rate of 6.74% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $98,000, representing a 6.0% increase over the prior year. The community provides assisted living and memory care services under a state-issued license with 24 full-time caregivers per shift. Occupancy stands at 90.5% with an average resident length of stay of 3 years.

Management fees are calculated at 5.1% of collected revenue and are included in operating expenses. Dining, housekeeping, transportation and activities programming are included in the base fee. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $195,000 or approximately 33.65 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $341,000, representing a 5.5% increase over the prior year. The community provides assisted living and memory care services under a state-issued license with 24 full-time caregivers per shift.

Leasing and Marketing

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 7th business day. Occupancy stands at 93.5% with an average resident length of stay of 7 years. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 43th business day. The community provides assisted living and memory care services under a state-issued license with 4 full-time caregivers per shift. Collections for the period were 88.8% of billed charges, with bad debt of 5.1% of gross potential income. Occupancy stands at 95.7% with an average resident length of stay of 6 years.

Financial Analysis

Management fees are calculated at 7.6% of collected revenue and are included in operating expenses. Dining, housekeeping, transportation and activities programming are included in the base fee. Occupancy stands at 92.1% with an average resident length of stay of 5 years. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 7.06% reflects the in-place income and the stabilized occupancy assumption.

Dining, housekeeping, transportation and activities programming are included in the base fee. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. The community provides assisted living and memory care services under a state-issued license with 2 full-time caregivers per shift. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Occupancy stands at 90.2% with an average resident length of stay of 4 years.

Leasing and Marketing

The community provides assisted living and memory care services under a state-issued license with 9 full-time caregivers per shift. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 96.3% of billed charges, with bad debt of 7.0% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 2th business day. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Dining, housekeeping, transportation and activities programming are included in the base fee. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. The manager completes a monthly walk of the property and submits a variance report to the owner by the 32th business day. Collections for the period were 90.9% of billed charges, with bad debt of 4.5% of gross potential income. The community provides assisted living and memory care services under a state-issued license with 14 full-time caregivers per shift.

Financial Analysis

Operating expenses totaled $308,000 or approximately 20.82 per square foot, with real estate taxes representing the largest line item. Effective gross income for the trailing period was $29,000, representing a 11.9% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Dining, housekeeping, transportation and activities programming are included in the base fee. The going-in capitalization rate of 7.34% reflects the in-place income and the stabilized occupancy assumption.

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Trailing 12-Month Operating Statement (Detail)

Account	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	T-12
4200 Payroll Taxes & Benefits	8,362	9,158	9,301	8,968	9,113	8,695	8,441	9,284	8,407	8,659	9,045	9,023	106,455
4210 Repairs - Plumbing	12,605	11,847	13,033	12,733	11,814	12,074	11,944	11,797	12,957	13,293	12,522	12,670	149,289
4220 Repairs - HVAC	7,681	7,183	7,814	7,656	7,680	7,832	7,758	7,400	7,565	7,888	7,157	7,747	91,363
4230 Repairs - Electrical	4,036	3,806	3,949	4,299	4,197	4,249	4,244	4,067	4,042	3,934	3,767	4,087	48,677
4240 Repairs - Appliances	8,777	8,497	8,528	8,959	8,649	8,895	9,598	9,523	8,493	9,393	9,212	8,740	107,264
4250 Painting & Decorating	4,563	4,901	4,470	4,773	4,748	4,606	4,849	4,672	4,342	4,711	4,827	4,402	55,863
4260 Flooring	2,558	2,382	2,445	2,560	2,486	2,301	2,286	2,429	2,289	2,496	2,374	2,547	29,153
4270 Make-Ready / Turnover	9,894	9,530	10,180	9,702	9,544	9,396	9,346	9,474	10,014	8,984	9,452	9,305	114,822
4280 Landscaping Contract	5,501	5,807	5,705	6,020	5,624	6,055	5,389	6,002	5,747	5,618	6,007	5,618	69,093
4290 Snow Removal	10,289	11,520	10,862	10,779	11,443	11,184	11,643	11,721	10,932	11,173	10,398	11,547	133,490
4300 Janitorial	5,805	5,429	6,072	5,443	5,786	5,434	5,788	5,790	5,754	5,848	6,037	5,645	68,831
4310 Pest Control	2,249	2,209	2,269	2,334	2,307	2,375	2,424	2,160	2,404	2,237	2,452	2,265	27,685
4320 Trash Removal	7,347	7,174	6,979	7,257	6,711	6,730	7,545	6,790	6,924	7,626	6,889	7,501	85,473
4330 Elevator Contract	7,020	7,404	7,269	7,194	7,114	6,695	6,815	7,557	6,984	6,695	7,562	6,952	85,262
4340 Fire & Life Safety	2,734	2,717	2,903	2,640	2,630	2,707	2,833	2,785	2,720	2,618	2,969	2,988	33,244
4350 Security	2,570	2,531	2,488	2,732	2,514	2,712	2,463	2,634	2,415	2,493	2,543	2,556	30,652
4360 Electricity - Common	9,259	10,287	10,366	10,601	10,583	10,138	9,533	9,631	9,846	10,262	10,108	10,454	121,067
4370 Gas - Common	2,669	2,577	2,863	2,777	2,809	2,671	2,592	2,705	2,802	2,643	2,509	2,598	32,216
4380 Water & Sewer	4,951	5,071	4,888	4,952	4,595	4,581	4,720	4,935	5,102	4,877	4,969	5,057	58,697
4390 Telephone/Internet	9,649	8,549	9,526	8,487	8,864	8,461	9,119	9,698	8,990	8,934	8,847	8,742	107,866
4400 Advertising	2,484	2,601	2,563	2,531	2,598	2,505	2,615	2,496	2,358	2,437	2,483	2,587	30,258
4410 Resident Events	12,079	12,116	12,452	12,668	12,789	13,298	11,973	12,440	12,867	12,139	12,793	13,620	151,235
4420 Office Supplies	2,033	2,066	2,060	1,963	1,842	1,966	2,064	1,851	1,926	1,988	2,002	2,034	23,794
4430 Legal & Professional	11,359	12,185	11,961	11,514	11,090	11,053	11,730	12,524	11,687	12,086	12,089	11,818	141,095
4440 Accounting & Audit	10,159	9,737	9,981	9,447	10,242	10,604	10,066	9,853	9,357	10,118	9,701	9,436	118,702
4450 Licenses & Permits	2,620	2,539	2,617	2,553	2,738	2,694	2,852	2,820	2,577	2,638	2,595	2,612	31,855
4460 Management Fee	6,361	6,764	6,315	7,089	6,508	6,605	6,752	7,115	6,701	7,076	6,231	6,387	79,904
4470 Property Insurance	9,215	9,309	8,954	9,360	9,072	9,855	9,399	8,960	9,394	9,882	10,002	9,621	113,025
4480 Real Estate Taxes	2,326	2,098	2,343	2,387	2,385	2,236	2,344	2,337	2,237	2,338	2,360	2,117	27,506
4490 Asset Management Fee	3,052	3,180	3,316	3,302	3,040	3,343	3,096	3,223	3,274	3,379	2,997	3,237	38,442
4500 Replacement Reserves	9,215	8,945	8,582	9,168	9,386	8,560	8,787	8,707	8,256	9,064	9,171	8,979	106,820
4510 Roof Repairs	8,215	8,008	8,006	7,728	7,873	7,792	8,340	7,682	7,679	8,327	8,525	7,630	95,805
4520 Parking Lot Repairs	3,583	3,611	3,573	3,549	3,532	3,801	3,548	3,921	3,750	3,881	3,430	3,786	43,966
4530 Signage	1,887	1,849	1,814	1,770	1,839	1,894	1,923	1,745	1,868	1,835	1,782	1,751	21,956
4540 Tenant Improvements	11,618	11,344	10,661	10,812	10,687	11,408	11,176	10,572	11,311	10,769	10,501	10,741	131,600
4550 Leasing Commissions	12,963	13,442	13,509	12,480	13,718	13,635	13,123	13,255	12,250	13,546	12,262	12,410	156,592
4000 Gross Potential Rent	110,554	108,087	115,407	102,430	101,880	105,807	105,331	104,914	114,567	102,286	110,175	109,656	1,291,094
4010 Loss to Lease	1,809	1,801	1,886	1,961	1,907	1,875	1,764	1,997	1,956	1,884	1,906	1,832	22,577
4020 Vacancy Loss	66,734	69,041	64,559	64,980	62,279	66,664	65,226	69,996	70,967	69,761	71,161	70,799	812,165
4030 Concessions	63,291	56,509	63,625	60,663	58,232	63,342	58,238	62,285	57,527	63,438	59,078	60,853	727,081
4040 Bad Debt	32,763	30,108	33,781	32,096	31,795	33,140	30,474	29,899	33,610	34,058	30,436	30,231	382,391
4050 Late Fees	62,372	65,167	67,085	63,081	64,301	60,642	64,145	60,147	63,508	68,125	65,744	61,971	766,289
4060 Utility Reimbursements	4,298	4,000	4,161	4,446	4,141	4,149	4,450	4,357	4,037	3,997	4,078	4,446	50,561
4070 Parking Income	60,499	68,872	66,681	68,814	62,683	67,814	62,386	61,228	63,087	66,912	64,117	61,413	774,506
4080 Application Fees	40,216	44,115	44,222	42,983	44,781	40,403	41,121	45,487	43,955	42,856	44,467	43,702	518,307
4090 Pet Rent	94,050	97,016	87,025	89,590	95,157	87,627	95,720	85,131	86,058	91,869	88,866	91,878	1,089,986
4100 Laundry Income	93,608	94,010	85,309	91,030	88,390	93,386	88,545	92,594	87,654	86,969	86,248	87,963	1,075,708

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Summary and Notes

Operating Performance

The going-in capitalization rate of 7.54% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Occupancy stands at 93.7% with an average resident length of stay of 6 years. Effective gross income for the trailing period was $420,000, representing a 10.7% increase over the prior year.

Net operating income is projected to grow at a compound annual rate of 4.8% over the hold period. Debt service coverage ratio was 6.63x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $209,000 or approximately 43.08 per square foot, with real estate taxes representing the largest line item. Average monthly revenue per occupied unit is $7,185, inclusive of base rent and levels of care. Dining, housekeeping, transportation and activities programming are included in the base fee.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 12 additional team members. Service requests are tracked through a work-order system with an average completion time of 6 hours. The manager completes a monthly walk of the property and submits a variance report to the owner by the 17th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Occupancy stands at 90.7% with an average resident length of stay of 11 years. Dining, housekeeping, transportation and activities programming are included in the base fee. Service requests are tracked through a work-order system with an average completion time of 25 hours.

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